

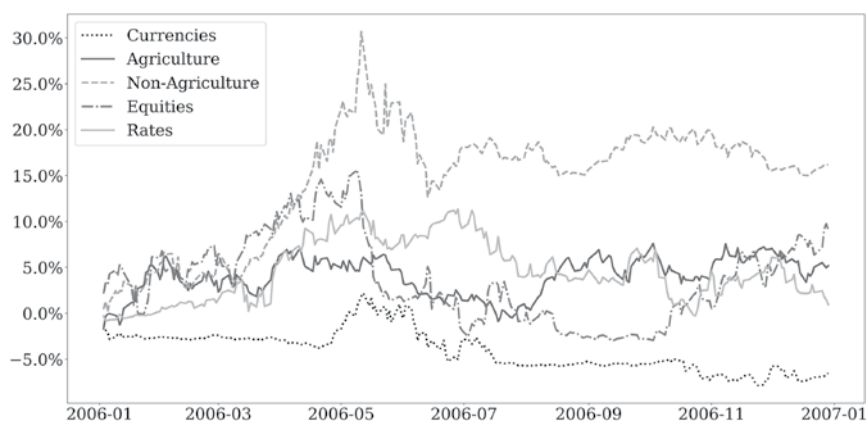


FIGURE 6.27 Sector performance 2006.

Remember how great it felt to gain US\$10 million? Now imagine how it feels to lose US\$6 million. Some may think that this isn't a loss, it's merely giving up some excess profits. But, no, that's not how finance works. You don't pick arbitrary points to calculate profits and losses. At one point, this portfolio had gained US\$10 million and was worth US\$27 million, and that was then the market-to-market value (Figure 6.27). That's the basis of calculating your loss. Never fall into the amateur trap of using gambling terminology such as "playing with the bank's money". This loss was very real.

The rocket ride up to +60% was primarily fuelled by the long non-agricultural sector, which was responsible for about half of this gain all by itself (Figure 6.28). The bet on the continued stock market bull trend paid off as well, up until the stock markets briefly turned down in June (Figure 6.29). Having concentrated bets like this can pay off greatly as long as the trends continue the way they were going, but they can also rack up losses very fast, and that's what happened here.

Figure 6.30 shows two distinct phases of the market this year, and in this case we managed to profit from both. The market started off rather sideways, but as the prices started falling in May, the trend model entered on the short side. Much of these profits were given up when the markets did a V-shaped turn in July and headed up, but some were still kept when those positions were exited. As the markets powered on, we soon entered fresh long positions, which were still on at the end of the year. In other markets, the short positions ended up losing money and net we lost money on short equities this year.